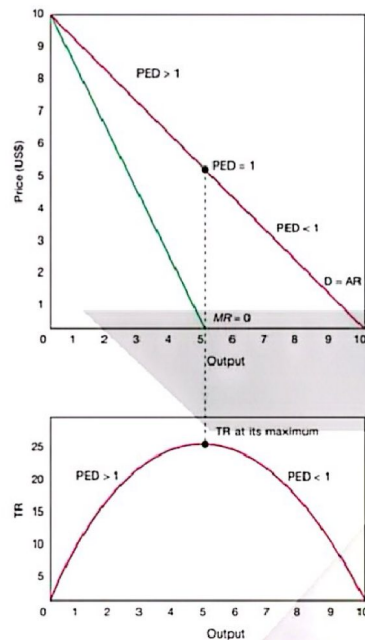


## CAIE A2 LEVEL ECONOMICS



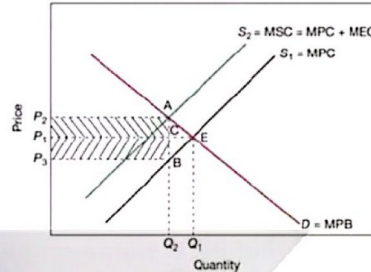
## 2. Government Microeconomic Intervention

### 2.1. Measures to Tackle Different Forms of Market Failure

- The demand curve, also known as the Marginal Private Benefit (MPB)
- The supply curve, also known as the Marginal Private Cost (MPC)
- Equilibrium in the market is where **Marginal Social Costs (true level of supply) = Marginal Social Benefits (true level of demand)**.
- Market Failure** is an inefficient distribution of goods and services in the free market.
- Causes of market failure:**
  - Negative production externalities
  - Negative consumption externalities
  - Positive production externalities
  - Positive consumption externalities

### Negative Production Externalities

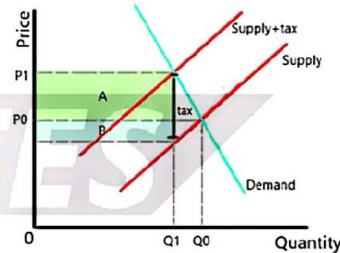
#### External costs and indirect tax



- Negative production externalities cause market failure due to the inefficient distribution of resources due to overproduction (as they only consider private costs).
- Distance AB is MEC (Marginal external cost), and the ideal situation is where indirect tax = MEC.
- Tax burden is shared by **producer (P1, C, B, P3)** and **consumer (P2, A, C, P1)**

### Measures to Realise Negative Production Externalities

- Specific Indirect Tax:** an indirect tax charged at a fixed rate on sales of goods and services.



- The tax effect here is a shift in the supply curve, causing the equilibrium from P0 to P1 and Q0 to Q1.
- The **tax revenue for the government** would be the shaded area AB, A being the consumer tax portion and B being the producer tax portion.
- Ad valorem tax:** an indirect tax charged as a percentage of the price of a good or service.



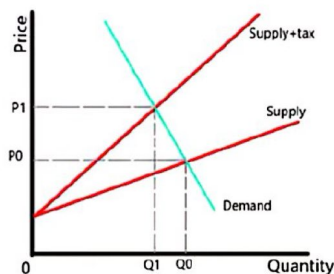
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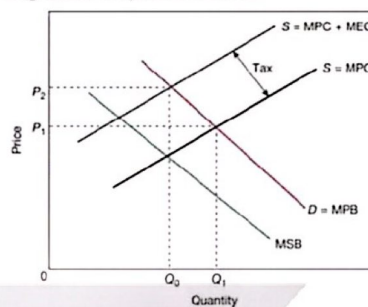
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- The effect of the tax is shifting the slope of the supply curve, which causes the price to shift from  $P_0$  to  $P_1$  and the quantity from  $Q_0$  to  $Q_1$ .
- Regulation:** a wide range of legal and other requirements from the government and other organisations.
  - This makes producing products with negative externalities higher in cost. Discouraging firms from producing.
- Property Rights:** Where owners can decide how their assets may be used. 2 possibilities:
  - Polluting firms have the rights. This means it can stop its polluting activities if paid compensation for its loss or gets paid to leave, which would require government intervention through the warning of new regulations.
  - The affected party would have the rights and can sue the company; however, it depends on bargaining power.
- Pollution Permits:** a form of licence given by governments that allows a firm to pollute up to a certain level. Firms and countries can sell permits; they control the quantity and price of permits according to the effect desired.
- Licensing:** Permits a firm to operate in specific markets or locations, e.g. to operate as a pub or a taxi business. 2 types of licensing:
  - Exclusive:** Licensing given to only 1 firm.
  - Non-exclusive:** licensing to more operators at a lower price than exclusive licence.
- These result in restrictions on entry into the market.

## Negative Externalities in Consumption

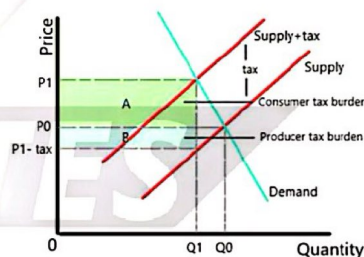
## Negative consumption externalities



- Consumers cause spillover costs.
- MSB is lower due to external cost, but MPB has caused an increase in demand that is met with over-estimated supply, as the MEC is not considered.
- Imposing indirect tax shifts quantity from  $Q_1$  to  $Q_0$  and price from  $P_1$  to  $P_2$ .

## Measures to Realise Negative Consumption Externalities

- Indirect Tax**
  - Specific indirect Tax deters consumers from purchasing due to the high consumer tax burden.



- Minimum Price Controls**
  - Minimum price controls/price flooring reduces the incentives for consumers to buy demerit goods, as the price is higher than equilibrium.
- Provision of Information**
  - Governments actively provide information to educate consumers about the content and long-term/short-term negative effects of demerit goods.
- Production Quotas**
  - The government restricting the quantity firms supply will limit the demand.

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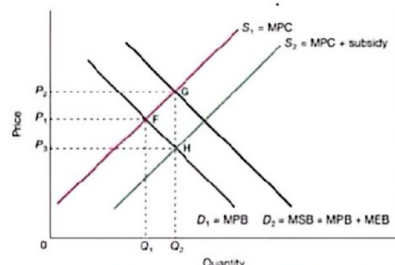
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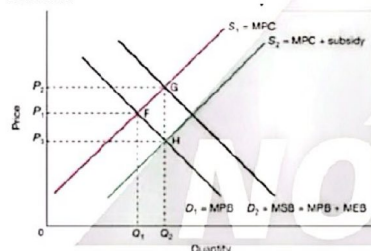
## Positive Production Externalities



- Spillover benefits created by producers.
- Subsidies allow a rightward supply shift by adding external benefits, allowing for lower prices, more quantity, and an accurate social cost (MSC).
- Market failure caused by production externalities is usually due to the lack of incentives for firms to produce, causing an **underproduction of these goods**.
- This leads to Allocative inefficiency and, thus, market failure.

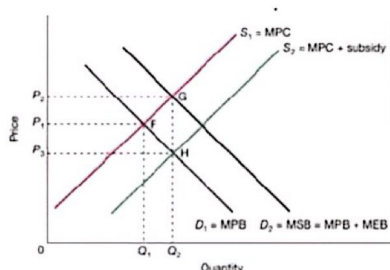
## Measures to Realise Positive Production Externalities

## • Subsidies:



- Subsidies provided by the government incentivise firms to produce these merit goods for society.
- This is shown above through the shift from  $S_1$  to  $S_2$ , an increase in supply, price changes from  $P_1$  to  $P_3$ , and a quantity from  $Q_1$  to  $Q_2$ .
- **Provision of Information**
  - Governments providing firms with the long-term effects of producing the merit goods and how that will positively affect business performance over time will incentivise firms to produce.

## Positive Consumption Externalities



- It occurs as a result of decisions made that impact consumers favourably.
- **Original equilibrium (F)** shows  $MPC = MPB$ , but as external benefits are realised, this equilibrium shifts to point G, with more quantity at price  $P_2$ . Subsidies are introduced to reduce the burden on firms, so the supply shifts right, making price  $P_3$  and the new equilibrium at point H.

## Measures to Realise Positive Consumption Externalities

## • Direct Provision

- Informing consumers about the contents and long-term/short-term benefits of merit goods will increase their awareness and result in them consuming more.

## • Subsidies

- Providing subsidies to firms will reduce the prices of merit goods and increase their quantity, incentivising the demand to increase.

## Other Measures to Correct Market Failure

## Nationalisation

- **Nationalisation:** governments take over a private sector business and transfer it to the public sector.
- As private sector businesses are MPC and MPB-motivated, they often underproduce merit and public goods. Using nationalism will increase positive externalities by supplying more to consumers (encourages positive consumption externalities) and increasing demand.
- Nationalisation will also reduce negative externalities by restricting consumer supply and lowering demand.

## Privatisation

- **Privatisation:** selling a state-owned public sector business to the private sector.
- Privatisation allows for increased competition, forcing firms to be more efficient in allocating their resources.

## Deregulations



# Definitions For IB Economics

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## CAIE A2 LEVEL ECONOMICS



- **Deregulation:** occurs when the government removes or reduces the restrictions in a particular industry to improve business operations and increase competition.
- Removing regulation from the market will allow the free market forces to balance itself out naturally.
- Governments can steer the market forces by implementing other policies.

### Nudge Theory

- **Nudge Theory** is a way of achieving beneficial economic and social outcomes without regulations.
- It is a way to indirectly manipulate people into taking specific or desired outcomes.
- This is done by providing information to consumers/producers and making them aware of specific accepts, e.g., the harmful effects of demerit goods or the benefits of merit goods.

### 2.2. Government Failure in Microeconomic Intervention

- **Government Failure:** where the government intervenes to correct market failure, which causes further inefficiencies.

#### Causes of Government Failure

- **Imperfect Information**
  - Correct policies need accurate information, or these policies may lead to greater economic inefficiencies.
- **Unintended Consequences**
  - Policies put in place to solve a problem may inadvertently create new problems or unintended consequences.
  - Unintended consequences are due to an imperfect understanding of the market and behaviour response.
- **Undesirable Incentives**
  - Policies like tax can disincentive the desire to work or demand for products.
  - Political objectives override economic welfare, especially when retaining power and gaining votes.
  - Public services and inappropriate incentives, as they lack private sector profit motive.
- **Policy Conflict**
  - When used to deal with negative externalities, policies like taxes can have a distributional impact, increasing income inequality. This creates a conflict in policies.
  - Tax and subsidies may have different effects on different groups and may not always have a positive effect.

#### Consequences of Government Failure

- **Deadweight Loss**
  - Government failure can cause even more undesirable consumption and production.
- **Reduced Consumer Surplus**

- Reduction of consumer surplus means increasing prices, discouraging consumption, and producing inefficiency in producers.
- **Decrease Economic Welfare**
  - Government failure would cause disturbance in the market, which could lead to reduced competition and efficiency.
  - This may affect economic growth and prosperity and may result in increased welfare.

### 2.3. Equity and Redistribution of Income and Wealth

- **Equity:** recognises that each person has different circumstances and allocates the exact resources and opportunities needed to reach an equal outcome. The distribution is fair.
  - **Horizontal Equity** - consumers and others with the same circumstances pay the same level of tax.
  - **Vertical Equity** - taxes fairly apportioned between rich and poor in society.
- **Equality:** each individual or group is given the same resources or opportunities.
- **Efficiency** addresses how well the economy's resources are used and allocated, while equity deals with how goods and services should be distributed.

#### Different Kinds of Poverty

- **Extreme Poverty:** Living below the international poverty line.
- **The International Poverty Line:** the monetary threshold under which an individual lives in poverty, currently \$2.15 per person per day.
- **Absolute Poverty:** When individuals and households don't have sufficient income to meet basic needs.
- **Relative Poverty:** when households receive 50% less than average household incomes. They can afford basic needs but nothing beyond that. It depends on the economic growth of the country.
- **The Poverty Trap** is where an individual or a family are better off on means-tested benefits than working.
  - This is one of the negative consequences of the means-tested benefit employed by the government.

#### Policies Towards Equity and Equality

- **Universal Benefits** are available to all, regardless of income or wealth.
  - However, operating is expensive as it implies paying people not in need of this benefit.
- **Means-tested Benefits:** Benefits paid only to those whose income falls below a certain level.
  - The poverty trap is a consequence that could rise.
- **Negative Income Tax:** a unified tax and benefits system where people are taxed or receive benefits according to a single set of rules.

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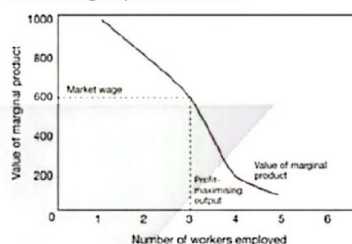
- People can use the benefits provided to pay for tax; if the difference is positive, the person is rich and has to pay the direct tax.
- If the benefits are greater than the tax, then the person benefits from the government.
- **Universal Basic Income:** a social welfare proposal in which all citizens of a given population regularly receive a minimum income through an unconditional transfer payment.
- **Progressive Tax:** one where the rate raises more than proportionately to the rise in income. It can create a disincentive to work.
- **Regressive Tax:** one where the ratio of taxation to income falls as income increases.

## 2.4. Labour Market Forces and Government Intervention

### The Demand for Labour

- **Labour Demand:** a concept that describes the demand for labour that an economy or firm is willing to employ at a given time.
- **Derived Demand:** demand for a good or service depends upon the use that can be made from it.
- **Labour Demand is a Derived Demand.** increasing when the need/use of labour increases. However, it is based on 2 assumptions:
  - The firm operating in a competitive market
  - The firm is a profit maximiser
- **Factors affecting demand for labour:**
  - **The wage rate** is the compensation for labour. The wage rate affects the willingness of firms to employ labour; the higher the minimum wage, the less labour is demanded by firms.
  - **Productivity of Labour** is the amount of goods and services produced in a given time. If the firm operates at a low productivity, it will demand more labour to increase that productivity.
    - Productivity of labour is affected by the law of diminishing returns, meaning that at a marginal rate, after a certain number, more workers will mean less productivity.
  - **Demand for the Product.** The greater the demand for the product, the more firms are willing to supply; therefore, the demand for labour increases.
- **The Demand Curve for Labour:**
  - Movement along the demand curve for labour results from a change in a firm's willingness to employ labour. e.g. The higher the minimum wage, the less the firms demand labour, causing a rightward/upward movement along the curve.
  - Shifts in the demand curve depend on the level of labour firms required for production. e.g., high demand for a product will mean increased production capacity for firms, thus the need for more labour and a rightward shift in the curve.
- These shifts could also be due to increased labour skills (due to education and training), which would help lower production costs.
- The increased use and progress of capital machinery and technology could result in a leftward shift in the curve due to fewer levels of demand required by firms.
- **Marginal Revenue Product (MRP):** the addition to total revenue from employing one or more workers.

Value of marginal product of labour



- Firms hire as long as the additional worker adds more to revenue. This essentially means that MRP shows us the derived demand for labour.
- The profit-maximising output is where the highest level of additional units meets the lowest level of workers needed.
- The equilibrium point of the highest additional unit for the lowest number of labourers also helps us determine market wage.

### The Supply of Labour

- The supply of labour is the number of hours that labour is able and willing to work for a particular wage rate.
- **Factors affecting the supply of labour:**
  - They are classified into wage and non-wage factors. Non-wage factors consider job satisfaction. Individuals consider both of these factors, known as net advantage.
    - **Net advantage:** sum of the utility derived from receiving a wage as well as the utility derived from working in that certain occupation
    - The increase in net advantage will result in more labour being supplied.
  - **Wages Rates:** The higher wages, the more willing workers are to trade in their leisure time. The wage has a positive relationship with the supply of labour.
    - Wage rates in different occupations affect the supply of labour in each industry. For example, a salesperson gets paid more than a production worker.
  - **Income tax** affects the percentage of real income workers receive; the higher the income tax, the less incentive to join the workforce.

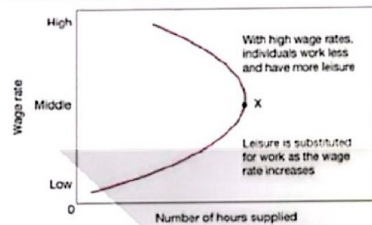




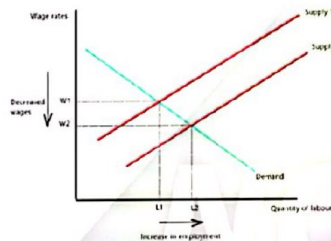
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- **Skills and Qualifications:** The higher the education and qualification needed, the lower the supply.
- **Non-pecuniary benefits:** These non-cash benefits by the government can create a **disincentive for employment** in the population, reducing the labour supply.
- **The Supply Curve for Labour:**

### Individual's labour supply curve



- Above is the individual supply of labour, which shows the relationship between wage rates and hours supplied.
  - Workers don't mind giving up more leisure time for more income as wage rates rise.
  - A **positive relationship** continues until wage rates reach an **optimum point**, where consumers are **satisfied with their income and wish to enjoy the income with more leisure time**.

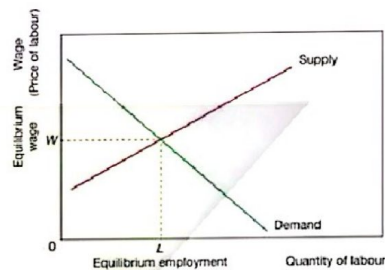


- This is the supply of labour curve in the market. Movement along the supply curve is due to changes in wage rates. Upward/rightward movement along the supply curve is due to wage increases.
- Shifts in the supply curve are due to **Increased labour capacity** in the market. For example, stable growth and an increase in life expectancy will mean the size of the population grows, meaning an **increase in the working population percentage**.
  - Depending on how individuals view leisure time (either as an inferior or normal good), an **increase in income will lead to an increase in leisure time** if it is considered a **normal good**, in the case if it is considered an **inferior good**, an **increased income will lead to a decreased leisure**. This causes either a left shift (Normal good) or a right shift (Inferior good).

- **Changes in population**, such as immigration rate, will increase the market's supply level. An increase in retirement age would cause a decrease/left shift in the curve.

## 2.5. Wage Determination in Perfect and Imperfect Market

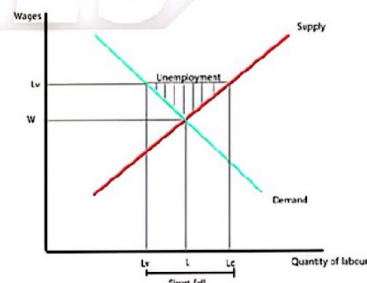
### Wage Determination in a Perfect Market



- The equilibrium in the labour market is determined by market forces when supply meets demand.
- Wages and level of employment are determined using that equilibrium.
- Any increase in demand will cause an increase in wages and employment.
- Any increase in supply will cause a decrease in wages and an increase in employment.

### Wage Determination in an Imperfect Market

- In an imperfect market, the equilibrium is influenced by many factors, which result in either workers or employers determining wages.
- Government and trade union affect demand and supply through:



- An **imposed wage by the trade union** will result in more labour supply, but demand will decrease from

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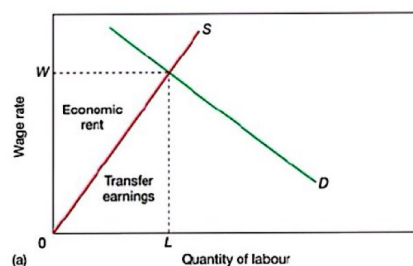
the equilibrium of  $L$  to  $L_v$ . This can cause unemployment in the market.

- The government may try to set a **minimum wage**, which also affects supply and demand, depending on the elasticity of labour. The more elastic the demand is, the smaller the demand increases through the introduction of minimum wage.
- Monopsony**: where there is a single buyer in the market.
  - Wages are set based on **marginal cost and marginal revenue product**. Since the employer holds all the power, they **exploit workers** and **set wages lower than the marginal revenue**.
  - Monopsony can restrict employment, allowing them to **employ fewer workers at lower wages**.

### Wage Differentials

- Wage Differentials**: the wage difference for different employees in the same job.
- This difference is a result of work ability and effort.
- The cause of wage differential**:
  - Supply factors, such as:
    - Experience**: The more job experience the individual has, the more valuable he becomes. Hence, he earns a higher wage.
    - Education**: The level of education determines the skills and knowledge in the particular occupation, which is deemed a higher wage.
  - Demand factors, such as:
    - Industry Type**: Industries may have different values to the same job title, e.g. a cashier in a fast food chain (responsible for financial transactions) and an accountant in a company (also responsible for financial transactions).
    - Demand for that occupation**: As the industry progresses, certain skills and occupations rise in demand, while others become irrelevant. Technical skills are rising in demand, making them valuable to the industry; hence, higher wages are needed to attract those skills.

### 2.6. Transfer Earnings and Economic Rent



- Transfer Earning**: the amount earned by a factor of production in its best alternative use.
  - Meaning the minimum payment needed to keep labour in its current occupation.
  - The supply curve shows us the minimum wage people are willing to work at.
- Economic Rent**: a payment made to a factor of production above that which is necessary to keep it in its current use.
- The elasticity of labour supply affects the economic rent and transfer earnings.
  - The more **elastic the labour supply** is, the **higher the transfer earnings** compared to economic rent.
    - The lower-skilled the job is, the more elastic (many alternative people to replace that position).
    - For example, cleaners get paid slightly above their transfer earnings since they might decide to live off welfare benefits if they get paid lower.
  - The more **inelastic labour supply**, the **higher the economic rent** compared to transfer earnings.
    - The more skilled the job is, the more inelastic it is (there are not many alternative people to replace the position).
    - Footballers get paid a lot higher than what they initially were willing to work for; since there are not many professional footballers in the world (meaning they are inelastic in supply), they get a higher portion of economic rent.

## 3. The Macroeconomy

### 3.1. The Circular Flow of Income

- Open Economy**: an economy that is involved in trade with other economies.
- Closed Economy**: an economy that does not trade with other economies.
- Circular Flow of Income**: a simple model of how income flows around the economy.
  - The circular flow of income in a closed economy:



- The circular flow of income in an open economy

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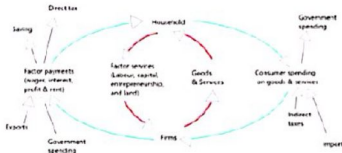
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## The Multiplier

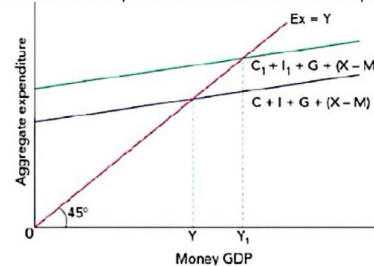
- **Multiplier:** an economic factor that, when increased or changed, causes increases or changes in many other related economic variables. Also known as the **national income multiplier**
- **The Multiplier Effect** is the proportional increase or decrease in final income resulting from an injection or withdrawal of spending.
- The larger the number of the multiplier, the larger the change in national income
- **Formula 1** =  $\frac{\text{Change in income}}{\text{Change in injection}}$ , this one is used in closed economy
- **Formula 2** =  $\frac{1}{\text{Marginal propensity to withdraw}}$ , this one used in open economy.
- **Two-Sector Economy:**
  - Indicates household and firms
  - **Marginal Propensity to Save (MPS):** the proportion of extra income saved.
  - **Formula** =  $\frac{1}{MPS}$ , Or  $\frac{1}{1-MPC}$
  - Income is where aggregate expenditure=output,  $C (\text{consumption, consumers}) + I (\text{Investment, firms}) = Y (\text{income})$
  - Injections equal withdrawals,  $I (\text{investment}) = S (\text{savings})$
- **Three-Sector Economy:**
  - The addition here is the government. We have injection here in the form of government spending and withdrawal in the form of taxation.
  - **Marginal Rate Taxation (MRT):** the proportion of extra income taken in tax.
  - **Formula** =  $\frac{1}{MPS+MRT}$
  - Income is where aggregate expenditure=output,  $C + I + G = Y$
  - Injections equal withdrawals,  $I + G = S + T$
- **Four-Sector Economy:**
  - Household, firms, government and foreign trade sectors. This is an open economy.
  - M denotes imports, and X denotes Exports.
  - **Net export is X-M.**
  - Income is where aggregate expenditure=output,  $C + I + G + (X-M) = Y$
  - Injections equal withdrawals,  $I + G + X = S + T + M$
  - Having 3 propensities to withdraw would mean the multiplier will have a small effect, but 3 injections

would mean more opportunities for GDP to change.

- **Marginal Propensity to Import (MPM):** the proportion of extra income spent on imports.
- **Formula** =  $\frac{MPS+MRT+MPM}{1}$
- **Marginal Propensity to Withdraw (MPW):** The addition of MPS+MRT+MPM together.
- **Formula** =  $\frac{1}{MPW}$
- **Average Propensity to Consume (APC):** the proportion of consumed income.
- **Formula** =  $\frac{\text{Total Consumption } C}{\text{Income } Y}$
- If disposable income is spent to meet current needs, the person/country is poor.
- **Dissaving:** spending financed from past savings or borrowing.
- **Saving:** income minus consumption.
- **Average Propensity to Save (APS):** the proportion of saved income.
- **Formula** =  $\frac{\text{Total Saving } S}{\text{Income } Y}$
- $APC + APS = 1$
- **Marginal Propensity to Consume (MPC):** the proportion of extra income spent.
- **Formula** =  $\frac{\text{Change in consumption}}{\text{Change in income}}$
- **Average Propensity to Import (APM):** the ratio of total imports to total income.
- **Formula** =  $\frac{\text{Total Imports } M}{\text{Income } Y}$
- **Average Rate of Tax (ART):** the total tax paid divided by taxable income.
- **Formula** =  $\frac{\text{Tax paid/due}}{\text{Total taxable income}}$

## 3.2. National Income Determination

- **National Income:** the sum of the economy's income on an aggregate level. It is an essential measure of economic performance.
- The level of national income in an economy is determined where aggregate demand equals aggregate supply. This is where aggregate expenditure = output.
- **Aggregate Expenditure:** the total amount spent in the economy at different income levels. Made up of consumption, investment, government spending, and net exports (X-M).
- An increase in expenditure leads to an increase in output.



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- Above is a Keynesian 45° diagram; it shows the relationship between money GDP and aggregate expenditure.
- A change in the aggregate demand (total spending on a country's goods and services) will result in national income changing by the size of the injection times the multiplier.
- An increase in AD would mean an increase in income; this increases spending and consumption, leading to more income, and the multiplier effect occurs until leakages equal the initial injection. This would result in a rise in GDP and, therefore, national income.
- An increase in savings would decrease AD, which, with the multiplier effect, would lead to decreased income spending and reduced GDP (national income).
- Example: If the government chose to inject (rise in spending) 300m dollars, with the multiplier being 2, national income would rise by 600m.

## Components of Aggregate Demand and their Determinants

## Consumption

- **Consumption:** Spending by households on goods and services.
- **Disposable Income:** income minus direct tax plus state benefits. The main influence on consumption.
- **Consumption Function:** the relationship between income and consumption.
  - Equation,  $C = a + bY$ , C is consumption, 'a' is autonomous consumption (amount spent when income is zero and doesn't change with income), 'b' is the marginal propensity to consume, and Y is disposable income. 'bY' can also be known as income-induced consumption.
- **Saving Function:** the relationship between income and saving. Reverse of consumption function.
  - Equation,  $S = -a + sY$ , S is the marginal propensity to save; a is autonomous dissaving (how much saving will be drawn when income is zero, does not change as income changes). 'sY' is induced saving.

## Investment

- **Investment:** spending by firms on capital goods.
  - **Influenced by:**
    - Changes in demand
    - Rate of interest
    - Technology
    - Cost of capital goods
    - Expectation of firms
    - Government policy.
  - **Autonomous Investment:** investment that is undertaken independently of changes in income.
  - **Induced Investment:** investment that is influenced by changes in income.

- **Accelerator Theory:** a model that suggests investment depends on the rate of change in income and that a change in GDP will cause a greater proportionate change in investment.
  - An increase in the national income (GDP) rate will result in a larger increase in the overall level of investment.
- Consumption increase → GDP rises → Firms either chose to:
  - Use capacity (**Does not increase investment**) → firms are not confident.
  - Increase capacity by buying capital goods (**increase investment**) → Firms have confidence that the rise will be sustained.
- Consumer demand rose by 20%, and gross investment has increased by 100%.

| Time Period (Year) | Consumer Demand | Capital at the start of the period | Capital Required to meet demand | Replacement due to Depreciation | Net Investment In |
|--------------------|-----------------|------------------------------------|---------------------------------|---------------------------------|-------------------|
| 1                  | 50              | 10                                 | 10                              | 2                               | 0                 |
| 2                  | 60              | 10                                 | 12                              | 2                               | 2                 |

- **Investment does not always increase by the change in demand:** if a firm can better use spare capacity, improving technology will limit the need for further investment. As well as, if capital goods producers are working too much to meet demands, fewer capital goods are available.
- **Capital-Output Ratio:** a measure of the capital used to produce a given amount or value of output.

## Government Spending

- **Government Spending:** the total of local and national government expenditure.
  - Influenced by
    - Government policy
    - Tax revenue
    - Demographic changes

## Net Exports

- **Net Exports:** exports minus imports.
  - Influenced by:
    - Country's GDP
    - Other countries GDP
    - The relative price and quality competitiveness of the country's products
    - Exchange rate

## 3.3. Inflationary and Deflationary Gap

- **Full Employment Level of National Income:** maximum output level where everyone available is employed, and

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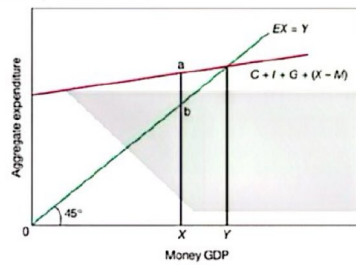
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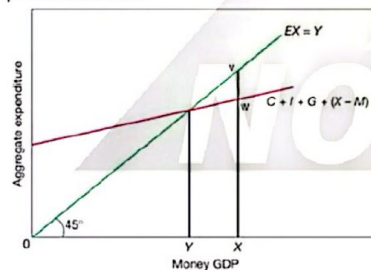
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no more output can be produced.

- Economies produce where total spending is above/below what is needed for national income to equal potential output.
- The equilibrium level for national income is where the **aggregate supply and demand are equal**.
- Inflationary Gap**: the excess of the aggregate expenditure over potential output. (equivalent to a positive output gap).
- This is caused by excess demand not being met due to inadequate resources.



- The national income equilibrium is at GDP point Y (achieved with the full employment of resources), above the output level currently produced at X. The Inflationary gap is the 'ab'.
- A cut in government spending will bring down the inflation gap.
- Deflationary Gap**: a shortage of aggregate expenditure so that potential output is not reached. (Equivalent to a negative output gap)



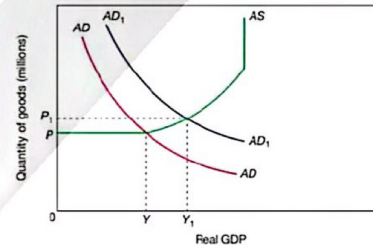
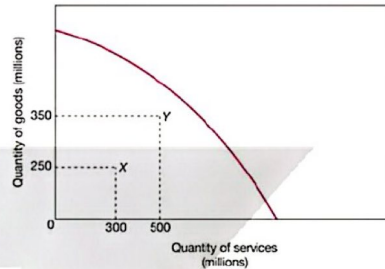
- The national income equilibrium is at GDP point Y (due to lack of expenditure), below the level of output X. The deflationary gap is 'vw'.
- An increase in government spending brings up the deflationary gap.

## 3.4. Economic Growth

- Actual Economic Growth**: when output increases. It is sometimes referred to as short-run economic growth.

## • Actual Economic Growth on PPC and AD/AS diagram

- In the PPC curve, an increase from X to Y results from better utilisation of existing resources or the utilisation of more resources.
- In the AD/AS diagram, the shift in the demand curve to the right causes actual economic growth that leads to output from Y to Y<sub>1</sub>.

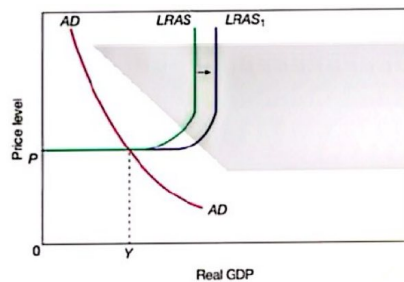
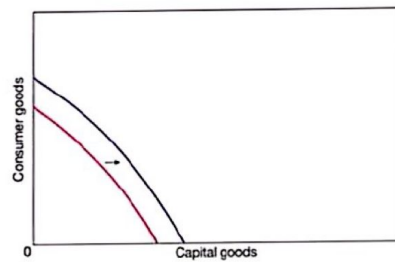


- Potential Growth**: an increase in the production capacity. Sometimes called the long-run economic growth.
- Potential Economic Growth on PPC and AD/AS Diagram**
  - In the PPC curve, a shift shows us the maximum output increase the economy can produce.
  - In the AD/AS diagram, the LRAS (Long-run supply curve) shift also shows us the maximum capable output increasing.



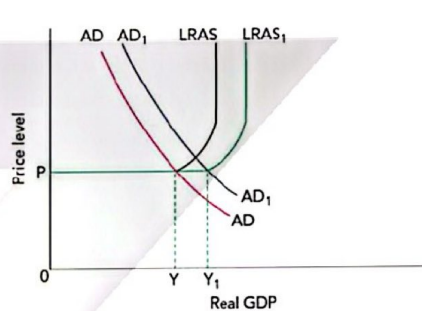
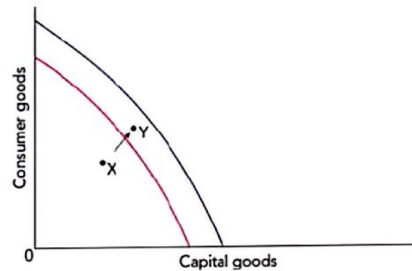


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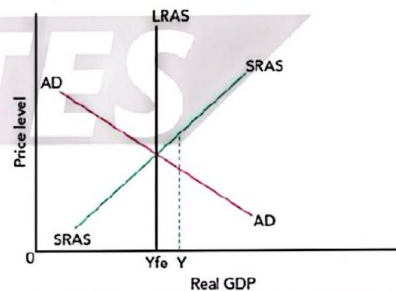


- **The Potential Growth and Actual Growth:**

- The PPC curve shifts (maximum potential) and moves from point X to Y (increased output).
- In the AD/AS diagram, a rightward shift in both AD and LRAS shows a shift from Y to Y1 in real GDP.
- Combining leads to development and progress since the combination can increase output, income and the quantity and quality of resources.

**Output Gaps**

- The difference between Potential and Actual Economic Growth is the output gap.
- **Positive Output Gap:** a situation where actual output is above potential output.



- The positive output gap is from Yfe to Y, showing us that the actual output occurring is more than what was put in the potential
- **Negative Output Gap:** a situation where actual output is below potential output

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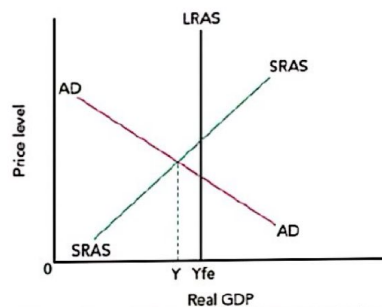
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- The negative output gap is shown from  $Y$  to  $Y_{fe}$ : due to a lack of aggregate demand, resources are not being employed well, causing the economy not to produce at its potential.

- Increased mobility & flexibility
- More efficient allocation
- New export markets
- Corporate tax reduction
- The upturn in the business cycle
- Increase in labour force
- Labour quality improvement
- More research & development
- Technological advances
- Net investment in capital stock
- Capital-intensive production

### 3.5. Policies to Promote Economic Growth

The government will attempt to increase aggregate demand to promote economic growth and reduce a negative output gap. This is done through:

- Expansionary Fiscal Policy:** e.g., a cut in tax rate will increase disposable income, which will aid in increasing consumption, investment, and aggregate demand.
- Expansionary Monetary Policy:** e.g., a reduction in interest rate will reduce savings and increase consumption and investment, increasing aggregate demand.
- However, there is a risk that these policies can result in no effect or adverse effect. E.g. For example, timing the multiplier and cutting the tax rate could result in actual economic growth, but it will also cause demand-pull inflation.

A government must encourage an increase in aggregate supply to promote potential economic growth. This is done through:

- Supply-side Policies:** e.g. subsidies for training the workforce, creating more productive labour and increasing productive capacity.

- However, there is **no guarantee** the policies will have the **desired effect**—training workers for a skill that may not be in demand. However, government spending increases demand in practice, affecting both potential and actual supply.

### 3.6. Inclusive Economic Growth

- Inclusive Economic Growth:** economic growth is distributed relatively across society and creates opportunities for all.
- It provides benefits to the economy in 2 ways:**
  - Monetary, with everyone experiencing a rise in income.
  - It is non-monetary, with everyone experiencing improved living standards and better education facilities.

#### Impact of Economic Growth on Equity and Equality:

- Economic growth has positively affected equity and income distribution in some countries.
- However, this is only if countries are willing to change to accommodate that growth. This means that some industries would close and others would be created; this could increase unemployment if workers are occupationally and geographically immobile.

#### Policies to Promote Inclusive Economic Growth:

- These government policies aim to evenly distribute the opportunities and benefits created by economic growth.
- Redistribute income through transfer payments and Progressive tax.
- Availability of high-quality education to all, which should raise opportunities for pay and employment.
- A relatively high national minimum wage to ensure leisure time for all workforce.
- Anti-discrimination legislation to prevent discrimination and ensure benefits and opportunities for all.
- Improvements in transport and communication links to reduce geographical immobility of labour and regional differences in income.
- Trade union legislation allows for the protection of workers' rights.
- Legislation against slavery and child labour to ensure that vulnerable groups are not exploited.

### 3.7. Sustainable Economic Growth

- Sustainable Economic Growth:** economic growth that can continue over time.
- To achieve sustainability, a deliberate and determined effort must be made to balance economic, social and environmental objectives.
- Using natural resources can lead to **economic growth in the short run**; however, **conserving resources allows them to be beneficial in the long run**.



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- Enables **future generations to benefit** from them and may mean that the **resources can be sold at higher prices**.
- **The Factors that Influence the Conservation of Resources:**
  - Demand for the product in the long run.
  - The comparative advantage of producing that product and whether it may arise.
- **Impact of Economic Growth on the Environment and Climate Change:**
  - Economic growth may harm the environment and increase the speed of climate change.
  - The **primary sector's constant usage of natural resources** can cause these resources to be **exploited and depleted**, causing them to be **non-renewable in the long run**.
  - The **higher rate of manufacturing** in the secondary sector causes **emissions**.
  - The **growth of the tertiary sectors**, like tourism, can **damage the environment**, destroying **natural sites and ecosystems**.
  - Economic growth can improve environmental conditions and reduce the pace of climate change if done through sustainable means such as clean energy and resources.
- **Policies to Reduce the Impact of Economic Growth on the Environment and Climate Change:**
  - **Subsidise cleaner energy sources**, provide incentives and reduce costs to firms to be more sustainable.
    - An opportunity cost may not always encourage efficient use of the money.
  - **Provision of Information** about the effects of certain activities and the usage of nudge theory to influence consumer/firm behaviour.
  - **Pass legislation to ban or restrict the production or consumption** of certain products, like banning plastic pages or fines for littering.
    - It can be costly to enforce.
  - **Using taxes to restrict firms' polluting activities** makes external costs become private. The income from this tax can be reinvested into compensation.
    - A risky tax rate may influence economic growth negatively.

## 3.8. Business (Trade) Cycles

- **Business (Trade) Cycle:** fluctuations in economic activity over the years. This causes output gaps.
- **The Phases of the Business Cycle:**
  - **The Upturn/Growth.** During this phase, the economy expands, **consumption and investment rise** due to household and firm optimism, and **employment rises**. This rapid growth leads to an economic boom.
  - **The peak/boom.** This is the peak of the business cycle, where the economy is experiencing a **positive output gap (cd)**, and a **high level of aggregate demand** would potentially result in **inflation and difficulties in the balance of payments**.

- **The downturn.** During this phase, the **economic growth rate falls**, resulting in **negative economic growth**, **savings rises**, and **investment falls** due to pessimism by households and firms.
- **The trough/Recession.** The lowest point in the economic cycle, with a **negative output gap (ab)**, is due to a lack of **aggregate demand**. If the recession period is too long, it could result in **depression**.
- **The Causes of the Business Cycle:**
  - **The Fluctuations in Aggregate Demand:**
    - **Business Confidence** affects investment; therefore, with the multiplier, injections have either a positive effect (optimism, higher AD) or a negative effect (pessimism, lower AD) on aggregate demand.
    - **Changes in Money Supply**, effects in investment and consumption.
    - **Political Cycles/Influences** affect government spending. A rise in government spending to help in elections and a fall after the election to quell demand-pull inflation caused.
  - **The Fluctuations in Aggregate Supply**
    - **Positive Supply-side shocks**, like technological advancement.
    - **Adverse Supply-side shocks**, like natural disasters.
- **Automatic Stabilisers** are used to **offset any fluctuations** in the business cycle.
  - **Reduce the rise in GDP by reducing the growth in aggregate demand** during an upturn and economic boom. E.g. The use of income and corporate tax to reduce the increase in consumption and investment.
  - **Reduce the fall in GDP by increasing aggregate demand** during at least part of a downturn, especially during a recession. E.g. the increase in welfare benefits (increase in government spending) to encourage consumption.

## 3.9. Employment and Unemployment

- **Full Employment:** the level of employment corresponding to where all who wish to work have found jobs, excluding frictional unemployment.
  - Usually considered when the unemployment rate falls to 3% and not 0% because, at any particular time, people may be experiencing unemployment due to switching jobs (frictional unemployment).

## Equilibrium Unemployment

- **Equilibrium Unemployment:** unemployment exists when the aggregate demand for labour equals the aggregate supply of labour.
  - No pressure for real wages to change.
  - This unemployment is due to people not accepting jobs with current wage rates, lack of information about job vacancies, lack of the skills and qualifications required, or geographical immobility.



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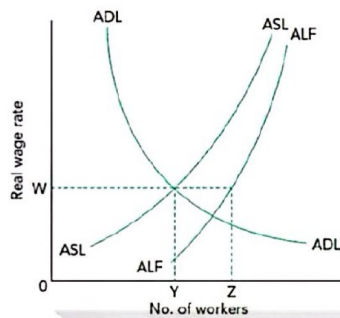


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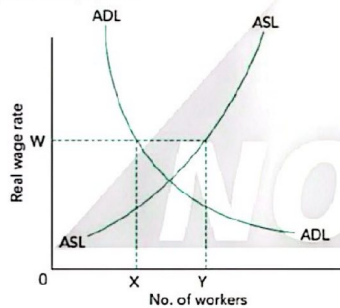
## Questions Practice

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- ADL (Aggregate Demand for Labour) equals ASL (Aggregate Supply for Labour) with wages at W and workers at Y.
- ALF (Aggregate Labour Force) is always higher than the equilibrium with point Z, as it takes workers willing/able to work and unwilling/unable to work. As the wage rate increases, ASL slopes towards ALF, as increased wages increase the incentive to work.
- **Voluntary Unemployment:** showcased with distance YZ.
- **Disequilibrium Unemployment:** the ASL does not meet ADL at the wage rate W.
- Where ASL exceeds ADL, ADL shifts to ADL1 due to a lack of aggregate demand; unemployment is XQ, equivalent to cyclical unemployment.



- This isn't easily fixable, as if wage rates were to increase, aggregate demand would decrease, and ADL would decrease.
- **Involuntary Unemployment** is showcased with distance XQ.
- **Voluntary Unemployment:** workers choose not to accept jobs at the current wage rate.
  - Some frictional unemployment, especially search unemployment.
- **Involuntary Unemployment:** workers are willing to work at the current wage but cannot find a job.

- Most structural unemployment is due to the structure of economic activity.
- Most Cyclical unemployment is due to a lack of demand.
- It is difficult to categorise since the purpose of unemployment (e.g. due to receiving unemployment benefits) and occupation (e.g., a prominent manager loses his job, even though he could work as a tea boy) can make it unclear which category they fit.

## The Natural Rate of Unemployment

- **Natural Rate of Unemployment:** the rate of unemployment that exists when the aggregate demand for labour equals the aggregate supply of labour at the current wage rate and price.
- This is different from the equilibrium of unemployment since new classic economists believe that this is the rate the economy will fall back to in the long run and is consistent with a constant inflation rate.
- **Factors (the supply side policies) that determine the natural rate of unemployment:**
  - The value of unemployment benefits relative to the value of low pay.
  - National minimum wage legislation
  - The quality of education and training
  - How workers are affected by periods of unemployment
  - The quantity and quality of information about job vacancies and workers' skills and qualifications
  - The degree of labour mobility
  - Workers' and firms' flexibility
- **Policies for Reducing the Natural Rate of Unemployment**
  - Cutting unemployment benefits/income tax rates to **widen the gap between low pay and unemployment benefits.**
  - Removal of restriction on minimum wage
  - Spending to **improve education and training** is important in overcoming the hysteresis problem.
  - Increase the quantity and quality of information about the job market.
  - Improve labour mobility
  - **Increase the flexibility in the labour force** by reducing, according to new classic economists, trade union powers and national minimum wage.

## Patterns and Trends of (Un) Employment

- **Patterns and Trends of Employment:**
  - **Industrial Sector.** As countries develop, the importance of each sector shifts, causing employment to shift from primary to secondary and tertiary sectors.
  - **The Proportion of Women in the Labour Force.** Due to reduced gender discrimination, increased job opportunities and qualifications, pay raises and childcare provisions.

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- **Employed and self-employed.** An increasing portion of workers are self-employed, more than working under someone (employed).
- **Full-time and Part-time.** Increasing part-time jobs due to people having other responsibilities, increased leisure time activities or inability to find full-time employment.
- **Employment in the Formal Economy and Informal Economy.** A formal economy is protected through worker legislation and leads to **secure employment** whereas an informal economy has no trade union/government representation and often gives **insecure employment**.
- **Private and Public Sector Employment.** Public sector employment provides high wages and non-monetary benefits (high-quality employment), but private sector employment is rising due to privatisation.
- It is important to note that it is not easy to compare countries in unemployment patterns; countries not only have differing economic conditions and labour markets but have different cultural systems, political agendas, and government objectives, which can result in effective comparisons.
- **Patterns and Trends of Unemployment:**
  - **Frictional Unemployment:** unemployment is temporary and arises when people are between jobs.
    - **Casual and Seasonal Unemployment** is a form of frictional unemployment.
  - **Structural Unemployment:** unemployment caused by the changing structure of economic activities
    - **Technological, regional and international unemployment.**
  - **Cyclical Unemployment:** unemployment that results from a lack of aggregated demand.
    - Firms could cut wages, but demand-deficient unemployment will exist if workers resist.

## 3.10. Mobility of Labour

- **Occupational Mobility:** the ability of workers to move from one occupation to another occupation.
- **Factors Affecting Occupational Mobility:**
  - **Quality of education and training**
  - **Information available** on job opportunities and occupation demands.
  - **Barriers to entry and exit,** restrictions in the supply of occupation by trade unions/professional bodies to raise wage rate or Long-term contracts that bind workers.
  - **Time opportunities** arise over time that may help workers build their qualifications.
- **Geographical Mobility:** the ability of workers to move from one location to another.
- **Factors Affecting Geographical Mobility:**
  - The price and availability of housing
  - Information available on job vacancies
  - Personal life may make it harder for workers to separate.

- Immigration controls
- Language barriers
- Cultural differences
- Differences in wages and living expenses

## 3.11. Policies to Reduce Unemployment

- The government will want to increase aggregate demand to increase the need for employment. This helps with cyclical unemployment.
- **Expansionary Fiscal Policy** tools:
  - **Reduce direct or indirect tax** to increase consumer expenditure.
  - **Cut in corporation taxes** to stimulate investment.
  - Increase in **government spending**.
- **Monetary Policy** tools:
  - **Reduce the rate of interest** to increase consumer expenditure and investment.
  - Increasing **money supply**
  - **Lowering exchange rate** to increase net exports.
- **Effectiveness of these policies:**
  - **Firm/consumer optimism** is needed for an effect to take place.
  - The **multiplier effect** must be kept in mind not to be underestimated and cause inflation, which worsens unemployment.
  - The **time lags** of these policies may make them **inefficient or cause adverse effects**. The government may realise the issue late, so when it comes to applying policies, the economy has started to shift upwards, and aggregate demand is increasing again.
- **Supply-side policies** are used to **reduce frictional and structural unemployment** through increasing labour supply:
  - **Increase information on the job market**
  - **Reduce unemployment benefits and income tax rate**
  - **Improved education and training** increase occupational mobility.
  - **Reducing trade union influence**
- **Effectiveness of supply-side policies:**
  - Some of these policies **take a long time to take effect**, e.g. improved education causes an increase in qualifications in the long run, but the skills learned may be outdated.
  - **Response to these policies is unexpected**, e.g. a cut in income tax may not be the incentive individuals need to join the workforce. This is especially the case if it turns out the cause of unemployment has been a lack of demand, which may lead to worsening unemployment.

## 3.12. Money and Banking

- **Money:** anything that is generally acceptable as a means of payment.
- **Functions of Money:**
  - A **medium of exchange**

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